



CA INTER MAY/SEP 26/JAN 27

INCOMETAX

**TDS / TCS /
ADV TAX**

PRACTICE SESSION



Chapter 7: Advance Tax, TDS & TCS

Illustration 01 [PYQ May 2014]

Answer the following:

What are the provisions relating to tax deduction at source in respect of:

1. ABC and Co. Ltd. Paid ₹ 19,000 to one of its Directors as sitting fees on 01-01-2026.
2. Mr. X sold his House to Mr. Y on 01 -02-2026 for ₹ 60 lacs?

Solution

1. TDS @ 10% (i.e. ₹ 1900) has to be deducted at source u/s 194 - J from sitting fees paid to directors
2. TDS @ 1% (i.e. ₹ 60,000) has to be deducted at source u/s 194 - IA from payment made by Mr Y to Mr X.

Illustration 02 [PYQ Nov 2014]

Answer the following:

State in brief the applicability of tax deduction at source provisions, the rate and amount of tax deduction in the following cases for the financial year 2025-26:

1. Payment of ₹ 27,000 made to Jacques Kallis, a South African cricketer, by an Indian newspaper agency on 02-07-2025 for contribution of articles in relation to the sport of cricket.
2. Rent of ₹ 1,70,000 paid by a partnership firm for use of plant and machinery.
3. Winning from horse race ₹ 1,50,000.
4. ₹ 2,00,000 paid to Mr. A, a resident individual on 22-02-2026 by the State of Uttar Pradesh on compulsory acquisition of his urban land.

Solution

1. Section 194E provides that the person responsible for payment of any amount to a non-resident sportsman for contribution of articles relating to any game or sport in India in a newspaper has to deduct tax at source @ 20%, Further, since Jacques Kallis, a South African cricketer, is a non-resident, health and education cess @ 4% on TDS should also be added. Therefore, tax to be deducted = ₹ 27,000 x 20.80% = ₹ 5,616.
2. As per Section 194-I, tax is to be deducted at source @ 2% on payment of rent for use of plant and machinery, only if the payment exceeds ₹ 6,00,000 during the financial year. Since rent of ₹ 1,70,000 paid by a partnership firm does not exceed ₹ 6,00,000, tax is not deductible.
3. Under Section 194BB, tax is to be deducted at source, if the winnings from horse race exceed ₹ 10,000 per transaction. The rate of deduction of tax at source is 30%. Assuming that winnings are paid to the residents, health and education cess @ 4% has not been added to the tax rate of 30%. Hence, tax to be deducted = ₹ 1,50,000 x 30% = ₹ 45,000.
4. As per Section 194-LA, any person responsible for payment to a resident, any sum in the nature of compensation or consideration on account of compulsory acquisition under



any law, of any immovable property, is required to deduct tax at source @ 10%, if such payment or the aggregate amount of such payments to the resident during the financial year exceeds ₹ 5,00,000. In the given case, there is no liability to deduct tax at source as the payment made to Mr. A does not exceed ₹ 5,00,000.

Illustration 03 [PYQ May 2015]

Briefly explain the following:

Mr. Madan sold his house property in Surat as well as his rural agricultural land for a consideration of ₹ 65 lakhs and ₹ 20 lakhs respectively, to Mr. Raman on 01-10-2025. He has purchased the house property for ₹ 40 lakhs and the land for ₹ 15 lakhs, in the year 2016. There was no difference in the stamp valuation. You are required to determine TDS implications, if any, assuming both persons are resident Indians.

Solution

TDS deductible = 65,00,000 x 1% = 6,500

TDS shall be deducted on sale of immovable property other than agricultural land.

Illustration 04 [PYQ May 2016]

Answer the following:

Ashwin a resident Individual carrying on business, furnishes you the following information:

Turnover during financial year	₹
2024-25	2,20,00,000
2025-26	20,00,000

State whether tax deduction at source provisions are attracted for the under-mentioned expenses incurred during the financial year 2025-26:

Particulars	₹
Commission paid to Babloo	8,500
Payment to Vijay for repair of office building	23,000
Payment of fees for technical services, to Vivek	35,000

All payments are made to residents.

If tax has to be deducted at source, state the amount of tax to be deducted at source.

Solution

As the turnover of Mr. Ashwin for F.Y. 2024-25, i.e. ₹ 220 lakhs, has exceeded the monetary limit of ₹ 100 lakhs prescribed under Section 44AB, he has to comply with the tax deduction provisions during the financial year 2025-26 (even though the turnover during F.Y. 2025-26 has not exceeded ₹ 100 lakhs), subject to, however, the exemptions provided for under the relevant sections for applicability of TDS provisions.

(i)	Commission paid to Babloo: As per Section 194H, tax has to be deducted @ 2%, if the amount of commission paid exceeds ₹ 20,000.
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	Therefore, No tax is to be deducted as the commission amount is within the limit.
(ii)	Payment to Vijay for repair of office building: As per Section 194C tax has to be deducted @ 1% where the payment is made to an individual for repair of office building, however, tax has to be deducted at source only if the amount of payment exceeds ₹ 30,000. In this case, Mr. Ashwin is not required to deduct tax at source as the amount of payment towards repair of office building does not exceed ₹ 30,000, assuming that ₹ 23,000 is the only payment made to Mr. Vijay during the P.Y. 2025-26.
(iii)	Payment of fees for technical services to Vivek: As per Section 194J, tax has not been to be deducted, since the amount of fees for technical services paid to Vivek does not exceeds ₹ 50,000.

Illustration 05 [PYQ Nov 2016]

Answer the following:

Mr. Barun provides you the following information and requests you to determine the Advance Tax liability with due dates for the financial year 2025-26.

Estimated tax liability for the financial year 2025-26 ₹ 65,000

Tax deducted at source for this year ₹ 5,000

Solution

Determination of Advance Tax Liability of Mr. Barun

Particulars			₹
Estimated tax liability for the financial year 2025-26			65,000
Less: Tax deducted at source			5,000
Tax payable			60,000
Due Date of instalment	Amount payable	₹	
On or before 15 th June, 2025	Not less than 15% of advance tax liability	9,000 (15% of ₹ 60,000)	9,000
On or before 15 th September, 2025	Not less than 45% of advance tax liability	18,000 (45% of 60,000 - 9,000)	18,000
On or before 15 th December, 2025	Not less than 75% of advance tax liability less amount paid in earlier installment	18,000 (45,000, being 75% of ₹ 60,000 - 27,000)	18,000
On or before 15 th March, 2026	Whole of the advance tax liability less amount paid in earlier installment(s)	15,000 (60,000, being 100% of ₹ 60,000 - 45,000)	15,000

Note - It is assumed that Mr. Barun's age is less than 60 years as on 31.3.2026.

Advance tax is payable in his case since the tax payable is more than ₹10,000.



Illustration 06 [PYQ May 2017]

Pallavi Bank Ltd., has paid interest of ₹ 9,000 to Mr. A, a resident Indian, from its Chennai branch and ₹ 8,000 from Bangalore branch. If there is no core banking services in the bank, is tax required to be deducted at source from such interest payments made on 31-3-2026? Will your answer be different if there is core banking service present in the bank? Also, explain the provisions of the Income-tax Act, 1961 in this regard.

Solution

TDS need not be deducted if there is no core banking services.

If core banking services is present TDS need to be deducted if interest on FD & RD exceeds ₹ 10,000 p.a.

Illustration 07 [PYQ Nov 2018]

Mr. Dhanapal wishes to purchase a residential house costing ₹ 60 lakhs from Ms. Saipriya. The house is situated at Chennai. He also wants to purchase agricultural lands in a rural area for ₹ 65 lakhs. He wants to know whether there will be any obligation to deduct tax at source in these two situations. Both the buyer as well as the sellers are residents in India. Advise Mr. Dhanapal suitably.

Solution

Since the sale consideration of residential house exceeds ₹ 50 lakh, Mr. Dhanapal is required to deduct tax at source @ 1% of sale consideration of ₹ 60 lakh under section 194-IA. TDS provisions under section 194-IA are not attracted in respect of transfer of rural agricultural land, even if the consideration exceeds ₹ 50 lakh.

Illustration 08 [PYQ Nov 2018]

Rahil & Co., a partnership firm is having a car dealership show-room. They have purchased cars for ₹ 2 crores from XYZ Ltd., car manufacturers, the cost of each car being more than ₹ 12 lakhs.

They sell the cars to individual buyers at a price yielding 10% margin on cost. State whether there will be any obligation to collect tax in the above two situations.

Solution

Every person, being a seller, who receives any amount as consideration or sale of a motor vehicle of the value exceeding ₹ 10 lakhs, is required to collect tax at source @ 1% of the sale consideration from the buyer.

TCS provisions will, however, not apply on sale of motor vehicles by manufacturers to dealers/distributors. Hence, XYZ Ltd., the manufacturer- seller need not collect tax at source on sale of cars to the dealer, Rahil & Co., even if the value of each car exceeds ₹ 10 lakhs.

However, TCS provisions would be attracted when Rahil & Co., sells cars to individual buyers, since the value of each car exceeds ₹ 10 lakhs. Rahil & Co. has to collect tax @ 1% of the consideration on sale of each car to an individual buyer.



Illustration 09 [PYQ May 2019]

Examine the TDS implications in the following cases along-with reasons thereof;

- (i) Ms. Varsha received a sum of ₹ 95,000 on 31st December 2025 towards maturity proceeds of LIC taken on 1st October 2016 for which sum assured was ₹ 80,000 and annual premium was ₹ 10,000.
- (ii) Mr. Deepak transferred a residential house property to Mr. Karan for ₹ 45 lacs. The stamp duty value of such property is ₹ 55 lacs.
- (iii) XYZ Private Limited pays the following amounts to Mr. Narayan during previous year 2025-26:
 1. ₹ 22,000 towards fee for professional services
 2. ₹ 18,000 towards royalty
- (iv) Payment of ₹ 1,75,000 made to Mr. Vaibhav for purchase of calendar according to specifications of M/s. ABC Limited. However, no material was supplied for such calendar by ABC Limited to Mr. Vaibhav.
- (v) Talent Private Limited pays ₹ 12,000 to Ms. Sudha, its director, towards sitting fee which is not taxable u/s 192.
- (vi) Radha Limited is engaged for Shyam Limited only in the business of operation of call centre. On 18-03-2026, the total amount credited by Shyam Limited in the ledger account of Radha Limited is ₹ 70,000 regarding service charges of call centre. The amount is paid through cheque on 28/03/2026 by Shyam Limited.

Solution**TDS implications**

- (i) On payment of LIC maturity proceeds - The annual premium exceeds 10% of sum assured in respect of a policy taken after 31.3.2012, and consequently, the maturity proceeds of ₹ 95,000 would not be exempt u/s 10(10D) in the hands of Ms. Varsha. However, tax deduction provisions u/s 194-DA are not attracted since the maturity proceeds are less than ₹ 1 lakh.
- (ii) On payment of sale consideration for purchase of residential house property - Since the sale consideration of house property is less than ₹ 50 lakhs, Mr. Karan is not required to deduct tax at source u/s 194-IA, irrespective of the fact that the stamp duty value is more than the sale consideration as well as the threshold limit of ₹ 50 lakhs.
- (iii) On payment of fee for professional services and royalty - Under Section 194J, the threshold limit of ₹ 50,000 is specified separately for, inter alia, fees for professional services and royalty. Therefore, XYZ Private Limited is not required to deduct tax at source under Section 194J either on fee of ₹ 22,000 for professional services or on royalty of ₹ 18,000 paid to Mr. Narayan, since the payment under each category does not exceed the independent threshold ₹ 50,000 specified thereunder.
- (iv) On payment for purchase of calendar according to specifications
As per Section 194C, the definition of “work” does not include the manufacturing or supply of product according to the specification by customer in case the material is



purchased from a person other than the customer. Therefore, M/s ABC Limited is not required to deduct tax at source in respect of payment of ₹ 1,75,000 to Mr. Vaibhav, for purchase of calendar according to its specifications, since it did not supply the material for such calendar. Hence, the contract is a contract for 'sale' and not a works contract.

- (v) On payment of sitting fees to the director - Talent Private Limited is required to deduct tax at source @10% on sitting fees of ₹ 12,000 paid to its director, since the threshold limit of ₹ 50,000 u/s 194J is not applicable in respect of fees paid to a director of a company.
- (vi) On payment of call centre service charges - Since Radha Limited is engaged only in the business of operation of call centre, Shyam Limited is required deduct tax at source® 2% on the amount of ₹ 70,000 u/s 194J on 18.3.2025 i.e., at the time of credit of call centre service charges to the account of Radha Limited, since the said date. is earlier than the payment date i.e., 28.3.2026.

Illustration 10 [PYQ May 2019]

Examine & explain the TDS implications in the following cases along with reasons thereof, assuming that the deductees are residents and having a PAN which they have duly furnished to the respective deductors.

- (i) Mr. Tandon received a sum of ₹ 1,75,000 as pre-mature withdrawal from Employees Provident Fund Scheme before continuous service of 5 years on account of termination of employment due to ill-health.
- (ii) A sum of ₹ 42,000 has been credited as interest on recurring deposit by a banking company to the account of Mr. Hasan (aged 63 years).
- (iii) Ms. Kaul won a lucky draw prize of ₹ 21,000. The lucky draw was organized by M/s. Maximus Retail Ltd. for its customer.
- (iv) Finance Bank Ltd. sanctioned and disbursed a loan of ₹ 10 crores to Borrower Ltd. on 31-3-2026. Borrower Ltd. paid a sum of ₹ 1,00,000 as service fee to Finance Bank Ltd. for processing the loan application.
- (v) Mr. Ashok, working in a private company, is on deputation for 3 months (from December 2025 to February 2026) at Hyderabad where he pays a monthly house rent of ₹ 52,000 for those three months, totalling to ₹ 1,56,000. Rent is paid by him on the first day of the relevant month.

Solution

- (i) According to Rule Number 9 of Schedule IV and Section 111 of the Income Tax Act, the rules of unrecognised provident fund would be applicable in case of withdrawal before the completion of five years. All the four components of EPF will be taxable. The amount of tax liability would have to be recomputed for each of the financial years at the tax rates that were applicable to the withdrawer in those respective years.
There are certain cases when withdrawal before five years does not become taxable. These cases are as follows:



- (a) If terminated due to employee's ill health;
- (b) Due to discontinuance of the employer's business;
- (c) Or any other reason beyond the control of the employee."

In the present case, Mr. Tandon's termination is due to ill health. Therefore withdrawal is not taxable and hence no TDS implication for the same.

- (ii) As per the third proviso to Section 194A(3), no tax is required to be deducted at source in the case of senior citizens where the amount of interest or the aggregate of the amount of interest credited or paid during the financial year by a banking company, Co-operative Society engaged in banking business or post office does not exceed ₹ 1,00,000. In the given case, since Mr. Hasan aged 63 years is a senior citizen receiving interest on recurring deposit of ₹ 42000/- below the specified limit hence no TDS is required to be made.
- (iii) According to the provisions of Section 194B, every person responsible for paying to any person, whether resident or non-resident, any income by way of winnings from lottery or crossword puzzle or card game and other game of any sort, is required to deduct income-tax therefrom at the rate of 30% if the amount of payment exceeds ₹10,000 per transaction. As Mr. Kaul won a lucky draw prize of ₹ 21,000. TDS is required to be made on entire 21000@30% i.e. ₹ 6,300/-
- (iv) According to Section 2(28A) - "interest" means interest payable in any manner in respect of any moneys borrowed or debt incurred (including a deposit, claim or other similar right or obligation) and includes any service fee or other charge in respect of the moneys borrowed or debt incurred or in respect of any credit facility which has not been utilised. From the above definition it is clear that processing fees is included in the definition of Interest u/s 2(28A). No tax is deductible at source under section 194A, since the service fee are paid to a banking company, i.e., Finance Bank Ltd.
- (v) Mr. Ashok, a salaried individual, is liable to deduct tax at source @ 2% under section 194-IB on ₹ 1,56,000 (being rent for 3 months from December 2025 to February 2026) from the rent to ₹ 52,000 payable on 1st February, 2026, since the monthly rent exceeds ₹ 50,000.

Illustration 11 [PYQ Nov 2020]

State in brief the applicability of tax deduction at source provisions, the rate and amount of tax deduction in the following cases for the financial year 2025-26 under the Income-tax Act, 1961. Assume that all payments are made to residents :

- (i) Sanjay, a resident Indian individual, not deriving any income from business or profession makes payments of ₹ 12 lakh in January, 2026, ₹ 20 lakh in February, 2026 and ₹ 20 lakh in March, 2026 to Mohan, a contractor for reconstruction of his residential house.
- (ii) ABC Ltd. makes the payment of ₹ 1,50,000 to Ramlal, an individual transporter who owned 6 goods carriages throughout the previous year. He does not furnish his PAN.



Solution

- (i) Payment to construction contractor: Tax is deductible u/s 194M. Threshold limit is ₹ 50,00,000. Payment in the given case is ₹ 52,00,000 TDS rate is 2% i.e. ₹ 1,04,000.
- (ii) Payment to transport contractor: Recipient is B a resident transport contractor. He does not own more than 10 goods carriage at any time during the F.Y. However, he does not furnish the PAN to the recipient of supply. Consequently, tax is deductible u/s 194C @ 20%.

Illustration 12 [PYQ Jan 2021]

Examine TDS/TCS implications in case of following transactions, briefly explaining provisions involved assuming that all the payees are residents; state the rate and amount to be deducted, in case TDS/TCS is required to be deducted/collected.

- (i) On 1.5.2025, Mr. Brijesh made three fixed deposits of nine months each of ₹ 3 lakh each, carrying interest @ 9% with Mumbai Branch, Delhi Branch and Chandigarh Branch of CBZ Bank, a bank which had adopted CBS. These Fixed Deposits mature on 31.01.2026.
- (ii) Mr. Marwah, aged 80 years, holds 6Yz% Gold Bonds, 1977 of ₹ 2,00,000 and 7% Gold Bonds 1980 of ₹ 3,00,000. He received yearly interest on these bonds on 28.02.2026.
- (iii) M/s AG Pvt. Ltd. took a loan of ₹ 50,00,000 from Mr. Haridas. It credited interest of ₹ 79,000 payable to Mr. Haridas during the previous year 2025-26. M/s AG Pvt. Ltd. is not liable for tax audit during previous years 2024-25 and 2025-26.

Solution

- (i) CBZ Bank has to deduct tax at source @10% under section 194A, since the aggregate interest on fixed deposit with the three branches of the bank is ₹ 60,750 $[3,00,000 \times 9\% \times 3 \times 9/12]$, which exceeds the threshold limit of ₹ 50,000. Since CBZ Bank has adopted core banking solution (CBS), the aggregate interest credited/paid by all branches has to be considered. Tax to be deducted at source = ₹ 60,750 $\times$ 10% = ₹ 6,075
- (ii) Tax @10% under section 193 is to be deducted on interest on 6½ Gold Bonds, 1977 and 7% Gold Bonds 1980, since the nominal value of the bonds held by Mr. Marwah i.e., ₹ 5,00,000 exceed ₹ 10,000.
 Interest on 6½ Gold Bonds, 1977 = ₹ 2,00,000 $\times$ 6.5% = ₹ 13,000
 Interest on 7% Gold Bonds 1980 = ₹ 3,00,000 $\times$ 7% = ₹ 21,000
 Tax to be deducted at source = ₹ 34,000 $\times$ 10% = ₹ 3,400
- (iii) M/s AG Pvt. Ltd. has to deduct tax at source @10% under section 194A, since the interest on loan payable is ₹ 79,000 which exceeds the threshold limit of ₹ 10,000. M/s AG Pvt. Ltd., being a company, has to deduct tax at source irrespective of the fact that it is not liable to tax audit during P.Y. 2024-25 and 2025-26. Tax to be deducted at source = ₹ 79,000 $\times$ 10% = ₹ 7,900

Illustration 13 [PYQ July 2021]

Examine whether TDS or TCS provisions would be attracted in the following cases, and if so, under which section. Also specify the rate of TDS or TCS and amount required to be deducted or collected at source as applicable in each case. Assume that all payments are made to residents..

Mr. Kalpit bought an overseas tour programme package for Singapore for himself and his family of ₹ 5 lakhs on 01-11-2025 from an agent who is engaged in organising foreign tours in course of his business. He made the payment by an account payee cheque and provided the permanent account number to the seller. Assuming Kalpit is not liable to deduct tax at source under any other provisions of the Act.

Solution

Tax @ 5% is required to be collected u/s 206C by the seller of an overseas tour programme package, from Mr. Kalpit, being the buyer of an overseas tour package, even if payment is made by account payee cheque.

Accordingly, tax has to be collected @5% on ₹ 5 lakh.

TCS = 5% x ₹ 5 lakh = ₹ 25,000

Illustration 14 [PYQ Nov 2022]

Examine the applicability and the amount of TDS to be deducted in the following cases for F.Y. 2025-26:

- (i) S and Co. Ltd. paid ₹ 25,000 to one of its Directors as sitting fees on 02-02-2026.
- (ii) ₹ 2,20,000 paid to Mr. Mohan, a resident individual, on 28-02-2026 by the State of Haryana on compulsory acquisition of his urban land.
- (iii) Mr. Purushotham, a resident Indian, dealing in hardware goods has a turnover of ₹ 12 crores in the previous year 2024-25. He purchased goods from Mr. Agarwal a resident seller, regularly in the course of his business. The aggregate purchase made during the previous year 2025-26 on various dates is 80 lakhs which are as under:

10-06-2025	₹ 25,00,000
20-08-2025	₹ 27,00,000
12-10-2025	₹ 28,00,000

He credited Mr. Agarwal's account in the books of accounts on the same date and made the payment on the 28-02-2026 ₹ 80 lakh. Mr. Agarwal's turnover for the financial year 2024-25 is ₹ 20 crores.

Solution

- (i) Tax @ 10% has to be deducted by S and Co. Ltd. under section 194J on directors sitting fees of ₹ 25,000. The threshold limit of ₹ 50,000 is not applicable in respect of sum paid to a director. The amount of tax to be deducted at source = ₹ 25,000 x 10% = ₹ 2,500
- (ii) There is no liability to deduct tax at source under section 194LA, since the payment to Mr. Mohan, a resident, by State of Haryana on compulsory acquisition of his urban land does not exceed ₹ 5,00,000.



- (iii) Since Mr. Purushotham's turnover for F.Y.2024-25 exceeds ₹ 10 crores, and value of goods purchased from Mr. Agarwal, a resident seller, exceeds ₹ 50 lakhs in the P.Y.2025-26, he is liable to deduct tax @ 0.1 % on ₹ 30 lakhs (being the sum exceeding ₹ 50 lakhs), at the time of credit or payment, whichever is earlier.
- On 10.6.2025 = Nil (No tax is to be deducted u/s 194Q on the purchases made on 10.6.2024 since the purchases made till that date has not exceeded the threshold of ₹ 50 lakhs and TDS provisions u/s 194Q was effective from 1.7.2025)
- On 20.8.2025 = 0.1% of ₹ 2 lakhs (amount exceeding ₹ 50 lakhs) = ₹ 200.
- On 12.10.2025 = 0.1% of ₹ 28 lakhs = ₹ 2,800.

Illustration 15 [PYQ May 2023]

Answer the following:

- (i) Miss Tara, a resident individual aged 32 years, is a social media influencer. She makes videos reviewing various electronic items and posts those video on social media. On 1st December 2025, XYZ Ltd., an Indian company manufacturer of electronic cars gave her a brand new car having fair market value of ₹ 6 lakhs to promote on her social media page. She used that car for 7 months for her personal purposes recorded a video reviewing the car and then returned the car to the company. You are required to discuss the applicable provisions in the Income-tax Act regarding the deduction of tax at source in respect of such transaction.
- (ii) Ms. Aruna is a Chief Executive Officer of a multi-national company. She hires Mr. Suresh for supply of her housing staff (like gardener, chefs and drivers etc.) and makes the following payments to him: ₹ 25,00,000/- on 10th August, 2025 and ₹ 30,00,000 on 22nd November, 2025. Determine of amount of tax to be deducted/collected at source, if any.
- Would your answer be different if Ms. Aruna is business woman and her books are not audited in immediately preceding financial year and payment to Mr. Suresh is for business purposes.
- (iii) By virtue of an agreement with Nationalized Bank, Ms ABC Pvt Ltd., a company engaged in catering business received ₹ 60,000 p.m. towards supply of food, water, snacks, etc. during office hours to the employees of the bank. Discuss the TDS implication of this transaction/agreement.

Solution

- (i) Under section 194R, the person who is responsible for providing to a resident, any benefit or perquisite whether convertible into money or not, arising from business or the exercise of a profession by such resident, has to first ensure deduction of tax @ 10% of the value of such benefit or perquisite, if the same exceeds ₹ 20,000. However, in case of benefit or perquisite being a product like car, mobile etc. if the product is returned to the manufacturing company after using for the purpose of rendering service, then it will not be treated as a benefit/perquisite for the purposes of section 194R. Accordingly, in the present case, since Miss Tara has returned the car to XYZ Ltd., TDS provisions under section 194R would not apply.



- (ii) The provisions of section 194C would not apply in the hands of Ms. Aruna since the amount paid to Mr. Suresh is for supply of her housing staff. Hence, it is used exclusively for her personal purposes.

In this case, tax is required to be deducted at source from such amount under section 194M @2%, since the aggregate payment made to Mr. Suresh for the said contract exceeds ₹ 50 lakhs during the P.Y.2025-26.

Accordingly, ₹ 1,10,000, being 2% of ₹ 55,00,000 [₹ 25,00,000 + ₹ 30,00,000], is required to be deducted at source.

In case Ms. Aruna made payment to Mr. Suresh for business purposes and she is not required to get her books of account audited [assuming her turnover from such business does not exceed ₹ 1 crore in P.Y. 2024-25], she is not required to deduct tax at source under section 194C. In such case also, she is required to deduct tax at source of ₹ 1,10,000 under section 194M.

Note: In the question, it is mentioned that Ms. Aruna is a business woman and her books are not audited in immediately preceding financial year. However, whether the provisions of section 194C would be attracted are dependent on whether the turnover of business carried on by her during the financial year immediately preceding the financial year in which the sum credited or paid exceeds ₹ 1 crore. In the absence of this information, it is possible that audit may not be required in her case due to the following reasons-

- her turnover exceeds ₹ 1 crore but does not exceed ₹ 10 crores and receipts and payments in cash does not exceed 5% of such receipts or payments, respectively.
- her turnover exceeds ₹ 1 crore but does not exceed ₹ 2 crore and she is declaring profits under the presumptive provisions of section 44AD.

Accordingly, following alternate answer is also possible based on the assumption that turnover of Ms. Aruna's business exceeds ₹ 1 crore.

Alternative Answer:

In case Ms. Aruna made payment to Mr. Suresh for business purposes during the P.Y. 2024-25, she would be required to deduct tax at source @1% under section 194C amounting to ₹ 55,000 (since payment is made to Mr. Suresh, an individual) of ₹ 55,00,000.

- (iii) According to section 194C, the definition of "work" include catering. In the present case, nationalised bank is required to deduct tax source @2% on ₹ 7,20,000 [₹ 60,000 x 12] paid to ABC Pvt. Ltd. for providing catering services to the bank, since amount of ₹ 60,000 paid every month exceeds the threshold of ₹ 30,000. Therefore, nationalised bank is required to deduct tax at source of ₹ 1,200 per month amounting to ₹ 14,400 for the year.

Illustration 16 [RTP Jan 2025]

Examine the applicability of Tax deduction at source (TDS) or Tax collection at source (TCS) as per the Income-tax Act, 1961 for the P.Y 2025-26 in the following situations

Mr. Saurabh's turnover for F.Y.2024-25 was ₹ 10.10 crores. Mr. Raja paid ₹ 12 lakhs on 1.11.2025 to M/s. Thomas Cook for a holiday package to Singapore for a week with his family, comprising of his wife and two children, being twins aged 22 years, in the last week of November. Mr. Raja also remitted ₹ 15 lakhs on 28.3.2026, out of his personal savings, under



LRS through Bank of India, as gift to his sister residing in London, on the occasion of her 50th birthday.

Solution

M/s. Thomas Cook, being a seller of an overseas tour programme package has to collect tax at source under section 206C(1G) from Mr. Raja on receiving amount for purchase of package. TCS @5% on upto ₹ 10 lakhs received and @20% on amount received above ₹ 10 lakhs. M/s Thomas Cook has to collect tax of ₹ 1,35,000, being ₹ 50,000 (5% of ₹ 10 lakhs) and ₹ 40,000 (20% of ₹ 2 lakhs). Bank of India, being an authorized dealer has to collect tax at source under section 206C(1G) @20% on amount in excess of ₹ 10 lakhs remitted under the LRS. since the remittance of ₹ 15 lakhs is not for the purpose of education and medical treatment. Bank of India has to collect tax of ₹ 1,00,000 i.e., 20% of ₹ 5 lakhs, being the amount remitted in excess of ₹ 10 lakhs.

Illustration 17 [PYQ May 2024]

Examine the applicability of Tax Deduction at Sources (TDS) or Tax Collection at Source (TCS) as per the Income Act, 1961 for the assessment year 2026-27 in the following independent situations.

- (i) ABC Limited paid rent of ₹ 75,000 + 18% GST per month to Mr. Ram for the office premises from 01.04.2025 to 31.03.2026. Mr. Ram has furnished his PAN and also filed his return of income before due date regularly.
- (ii) XYZ Pvt. Ltd sells two cars to Mrs. Anju costing ₹ 4,00,000 and ₹ 12,00,000 respectively on 01.05.2025 and 25.12.2025. Mrs. Anju has furnished her PAN and filed her return of income regularly before the due date.

Solution

- (i) ABC Limited is required to deduct tax at source under section 194-I @10% on rent of ₹ 75,000 per month exclusive of GST component, since the aggregate rent of ₹ 9,00,000 during the financial year exceeds the threshold limit of ₹ 6,00,000. Tax has to be deducted at the time of payment or credit, whichever is earlier.
- (ii) XYZ Pvt. Ltd. is not required to collect tax at source on sale of car of ₹ 4,00,000 to Mrs. Anju since its value does not exceed ₹ 10 lakhs. However, it is required to collect tax at source u/s 206C(1F) @1% on the total sale consideration of ₹ 12 lakhs since the value of this car exceeds ₹ 10 lakhs. Tax has to be collected at the time of receipt of ₹ 12 lakhs.

Illustration 18 [PYQ Sep 2024]

Answer the following:

- (i) M/s. PQR & Co., a proprietary firm of Mr. Yogesh, paid an amount of ₹ 30,500 to Mr. Amit, a resident individual aged 45 years, on June 1, 2025 towards fees for professional services. Subsequently, another payment of ₹ 60,000 was due to Mr. Amit on January 30, 2026. Tax was not deducted from both the transactions. Mr. Amit has filed his return of income for assessment year 2026-27 on May 2026, taking



into account professional fees from M/s. PQR & Co. and paid the taxes due on the income declared in the return of income. What are the tax obligations in the hands of M/s. PQR & Co. on the assumption that the accounts of the firm are audited under section 44AB of the Income-tax Act 1961?

- (ii) M/s. Fastest Ltd. is an Indian car manufacturer. During the F.Y. 2025-26, it sold cars for ₹ 150 lakhs to M/s. Race LLP, a distributor of cars where the sale price of each car was ₹ 7.5 lakhs. The turnover for the F.Y. 2024-25 of M/s. Fastest Ltd. was ₹ 15 crores and M/s. Race LLP was 8 crores. What shall be the TCS/TDS implications on M/s. Fastest Ltd. and M/s. Race LLP?

Solution

- (i) M/s PQR & Co. is required to deduct tax at source under section 194J @10% on the professional fees paid to Mr. Amit of ₹ 30,500 and ₹ 60,000 on 1st June 2025 and 30th January 2026, respectively, assuming M/s PQR & Co. turnover/gross receipts exceeds the prescribed threshold limit. However, M/s PQR & Co. has not deducted the tax at source during the P.Y. 2025-26, disallowance of ₹ 27,150, being 30% of ₹ 90,500 would be attracted u/s 40(a)(ia) though Mr. Amit has filed his return of income considering the professional fees from M/s PQR & Co. and paid taxes on the same.

In such a case, M/s PQR & Co. would not be deemed as assessee in default by virtue of the first proviso to section 201(1) and the amount disallowed i.e., 27,150 would be allowed as deduction in A.Y. 2027-28.

For non-deduction of tax at source, interest @1% would be leviable under section 201(1A)(i) for every month or part of the month on the amount of tax from the date on which such tax was deductible to the date such tax was paid by the payee i.e., 2.5.2026.

Interest @1% on ₹ 3,050 (10% of ₹ 30,500) from June 2025 to May 2026
= ₹ 366 and on ₹ 6,000 (10% of ₹ 60,000) from January, 2026 to May 2026 = ₹ 300 is payable by M/s PQR & Co.

- (ii) M/s. Fastest Ltd. is not required to collect tax at source u/s 206C(1F) on sale of cars of ₹ 150 lakhs to M/s. Race LLP, since such sale is to a distributor and sale price of each car does not exceed ₹ 10 lakhs. M/s. Race LLP is also not required to deduct tax at source u/s 194Q, since its turnover, being a buyer in the P.Y. 2024-25 does not exceed ₹ 10 crores.

Illustration 19 [RTP Nov 2022 & RTP May 2026]

State Government of Madhya Pradesh grants a lease of coal mine to ABC Co. Ltd., an Indian company, on 1.10.2023 and charged ₹ 8 crores for the lease. ABC Co. Ltd. sold coal for ₹ 2 crores to Mahapower Ltd., another Indian company, during the previous year 2025-26. Mahapower Ltd. furnishes a declaration to ABC Co. Ltd. that the coal is to be utilized for the purpose of generation of power. The turnover of ABC Co. Ltd. and Mahapower Ltd. for the F.Y. 2024-25 amounted to ₹ 11 crores and ₹ 12 crores, respectively. What is the amount of



tax required to be deducted or collected at source in respect of the above transactions, if any?

Solution

Section 206C(1C) provides for collection of tax @2% by every person who grants a lease in any mine or a quarry to another person for the use of such mine or quarry for the purposes of business. Accordingly, State Government of Madhya Pradesh is required to collect tax at source of ₹ 16,00,000, being 2% on ₹ 8 crores, being the charges for lease of coal mine. Under section 206C(1), seller of certain goods, inter alia, coal is required to collect tax from the buyers @1%. However, no collection would be made under section 206C(1), in case of a resident buyer, if such buyer furnishes to the person responsible for collecting tax, a declaration to the effect that goods are to be utilized for the purpose of generation of power.

In the present case, ABC Co. Ltd. is not required to collect tax at source u/s 206C(1) in respect of coal sold to Mahapower Ltd. since Mahapower Ltd. has furnished a declaration to ABC Co. Ltd. that the coal is to be utilized for the purpose of generation of power.

Section 194Q requires any person, being a buyer who is responsible for paying any sum to resident for purchase of any goods of the value exceeding ₹ 50 lakhs in any previous year, to deduct tax @0.1% of such sum exceeding ₹ 50 lakhs.

Buyer means a person whose turnover from the business carried on by him exceeds ₹ 10 crores during the financial year preceding the financial year in which goods are purchased. In this case, since Mahapower Ltd.'s turnover for P.Y. 2024-25 exceeds ₹ 10 crores, it is a buyer as per section 194Q. Since, tax is not required to be collected on sale of coal to Mahapower Ltd., the provisions of section 194Q would apply and Mahapower Ltd. is required to deduct tax of ₹ 15,000 under section 194Q, being 0.1% of ₹ 1.5 crores, being the sum exceeding ₹ 50 lakhs.

Illustration 20 [RTP May 2020]

The following details are provided by Mr. Divakar, an individual, for the assessment year 2026-27.

	Amount (₹)
Total estimated tax payable	4,40,000
TDS (deductible but not deducted)	55,000

Determine the advance tax payable with their due dates for the assessment year 2026-27.

Solution

Computation of Advance Tax Payable for the A.Y 2026-27

Particulars	₹
Tax Payable	4,40,000
TDS (deductible but not deducted), cannot be reduced for computing advance tax liability	Nil
Net Tax Payable	4,40,000



Due dates for payment of advance tax

Due date of installment	Amount payable
On or before 15th June, 2025	₹ 66,000 [15% of ₹ 4,40,000]
On or before 15th September, 2025	₹ 1,32,000 [₹ 1,98,000 (45% of ₹ 4,40,000) less ₹ 66,000, (amount paid in earlier installment)]
On or before 15th December, 2025	₹ 1,32,000 [₹ 3,30,000 (75% of ₹ 4,40,000) Less ₹ 1,98,000 (amount paid in earlier installment or installments)]
On or before 15th March, 2026	₹ 1,10,000, [₹ 4,40,000 (whole amount of advance tax liability less ₹ 3,30,000 (amount paid in earlier installment or installments)]

Illustration 21 [MTP May 2024]

Examine and compute the liability for deduction of tax at source, if any, in the cases stated hereunder, for the financial year ended 31st March, 2026.

- (i) State Bank of India pays ₹ 70,000 per month and ₹ 60,000 per month as rent to the Central Government and Mr. Kunal, respectively for building in which its branches are situated.
- (ii) Payment of ₹ 2,50,000 to Mr. Deepak a transporter who owns 8 goods carriages throughout the previous year. He does not furnish his PAN.

Solution**TDS implications**

- (i) Section 194-I, which governs the deduction of tax at source @10% on payment of rent, exceeding ₹ 6,00,000 p.a., is applicable to all persons except individuals and HUF, whose turnover/gross receipts do not exceed ₹ 1 crore in case of business or ₹ 50 lakhs in case of profession during the financial year immediately preceding the financial year in which such rent is credited or paid. In the present case, State Bank of India has to deduct at source @ 10% on rental payment to Mr. Kunal.
Tax deducted at source = ₹ 72,000 (₹ 7,20,000 x 10%)
Section 196, however, provides exemption in respect of payments made to Government from application of the provisions of tax deduction at source. Therefore, no tax is required to be deducted at source by State Bank of India from rental payments to the Government.
- (ii) As per section 194C, no tax is required to be deducted at source on payment to transporter if the following conditions are satisfied:
 - (1) He owns ten or less goods carriages at any time during the previous year.



- (2) He is engaged in the business of plying, hiring or leasing goods carriages;
- (3) He furnishes a declaration to this effect along with his PAN.

In the present case, since Mr. Deepak has not furnished his PAN, tax is required to be deducted at source @ 20% under section 206AA on ₹ 2,50,000, since the same exceeds the threshold limit of ₹ 1,00,000.

Tax deducted at source = ₹ 50,000 (₹ 2,50,000 x 20%)

Illustration 22 [MTP May 2022]

Examine TDS implications in case of following transactions, briefly explaining provisions involved assuming that all the payees are residents; state the rate and amount to be deducted, in case TDS is required to be deducted

- (1) Mrinal & Sons, a LLP withdrew from its bank account ₹ 40 lakhs by cash on 1.5.2025, ₹ 35 lakhs on 7.9.2025 and ₹ 55 lakhs on 28.2.2026. The purpose of withdrawal from bank was for buying agricultural produce, from farmers/ agriculturist, being raw material required for manufacture of finished products by it. Mrinal & Sons regularly files its return of income before the due date.
- (2) Mr. Mukesh, aged 75 years, holds 6½ Gold Bonds, 1977 of ₹ 2,50,000 and 7% Gold Bonds of ₹ 3,50,000. He received interest on these bonds on 31.1.2026.

Solution

- (1) Mrinal & Sons has withdrawn aggregate cash of ₹1.30 crores during the previous year 2025-26. Since aggregate amount cash withdrawals exceed ₹ 1 crore, bank is required deducted tax at source @2% on the amount exceeding ₹ 1 crore i.e., ₹ 30 lakhs though he withdraws the same for buying agricultural produce from farmers, agriculturists, being raw material required for manufacture of finished products by it.
TDS = 2% of ₹30 lakhs = ₹60,000
- (2) Tax @10% under section 193 is to be deducted on interest on 6½ Gold Bonds, 1977 and 7% Gold Bonds 1980, since the nominal value of the bonds held by Mr. Mukesh i.e., ₹ 6,00,000 exceed ₹10,000.
Interest on 6½ Gold Bonds, 1977 = ₹ 2,50,000 x 6.5% = ₹ 16,250
Interest on 7% Gold Bonds 1980 = ₹ 3,50,000 x 7% = ₹ 24,500
Tax to be deducted at source = ₹ 40,750 x 10% = ₹ 4,075

Illustration 23 [MTP May 2023]

State in brief the applicability of provisions of tax deduction at source, the rate and amount of tax deduction in the following cases for the financial year 2025-26 under Income-tax Act, 1961. Assume that all payments are made to residents:

- (1) Mr. Amar has paid ₹ 6,00,000 on 15.10.2025 to M/s Fresh Cold Storage Pvt. Ltd. for preservation of fruits and vegetables. He is engaged in the wholesale business of fruits & vegetable in India having turnover of ₹ 3 crores during the previous year 2025-26.



- (2) Mr. Ramu, a salaried individual, has paid rent of ₹ 60,000 per month to Mr. Shiv Kumar from 1st July, 2025 to 31st March, 2026. Mr. Shiv Kumar has not furnished his PAN.

Solution

TDS implications

- (1) The arrangement between Mr. Amar, the customer, and M/s. Fresh Cold Storage Pvt. Ltd., the cold storage owner, is basically contractual in nature and main object of the cold storage is to preserve perishable goods by mechanical process and storage of such goods is only incidental. Hence, the provisions of section 194C will be applicable to the amount of ₹ 6 lakh paid by Mr. Amar to the cold storage company.
Accordingly, tax has to be deducted @ 2% on ₹ 6 lakh.
 $\text{TDS u/s 194C} = 2\% \times ₹ 6 \text{ lakh} = ₹ 12,000$
- (2) Mr. Ramu, being a salaried individual, has to deduct tax at source @ 2% u/s 194-IB on the annual rent paid by him from the last month's rent (rent of March, 2026), since the rent paid by him exceeds ₹ 50,000 p.m.
Since his landlord Mr. Shiv Kumar has not furnished his PAN to Mr. Ramu, tax has to be deducted @ 20% instead of 5%. However, the same cannot exceed ₹ 60,000, being rent for March, 2026.
 $\text{TDS u/s 194-IB} = ₹ 5,40,000 (₹ 60,000 \times 9) \times 20\% = ₹ 1,08,000$, but restricted to ₹ 60,000, being rent for March, 2026

Illustration 24 [MTP Nov 2023 & PYQ May 2022 & PYQ May 2023]

Discuss the liability of tax deduction at source under the Income-tax Act, 1961 in respect of the following cases with reference to A.Y. 2026-27.

- (i) ABC Ltd. is a producer of natural gas. During the year, it sold natural gas worth ₹ 26,50,000 to M/s XYZ Co., a partnership firm. It also incurred ₹ 1,70,000 as freight for the transportation of gas. The ownership of the gas is simultaneously transferred by ABC Ltd. with transportation. It raised the invoice and clearly segregated the value of gas as well as the transportation charges.
- (ii) Design LLP paid job charges to ABC, a partnership firm for doing embroidery work on the fabric supplied by the Design LLP during the previous year 2025-26 as under:

Bill No.	Date	Amount (₹)
1	30.4.2025	27,000
57	30.6.2025	25,000
105	30.09.2025	28,000
151	30.12.2025	32,000

Solution

TDS implications

- (i) Since ABC Ltd., being the producer of the natural gas, sells as well as transports the gas to M/s. XYZ Co., the purchaser, till the point of delivery, where the ownership



of gas is simultaneously transferred to M/s. XYZ Co, the manner of raising the invoice (whether the transportation charges are embedded in the cost of gas or shown separately) does not alter the basic nature of such contract which remains essentially a 'contract for sale' and not a 'works contract' as envisaged in section 194C. Therefore, in such circumstances, the TDS provisions would not be attracted on ₹1,70,000, being the component of gas transportation charges paid by M/s. XYZ Co. to ABC Ltd.

- (ii) In this case, the individual contract payments (through the bills dated 30.4.2025, 30.6.2025 and 30.9.2025) made by Design LLP to ABC does not exceed ₹ 30,000. However, since the aggregate amount paid to ABC during the P.Y. 2025-26 exceeds ₹ 1,00,000 (on account of the last payment of ₹ 32,000, due on 30.12.2025, taking the total from ₹ 80,000 to ₹ 1,12,000), the TDS provisions under section 194C would get attracted on the entire sum of ₹ 1,12,000.
Tax has to be deducted @ 2% (since payment is to a firm, ABC) on the entire amount of ₹ 1,12,000, from the last payment of ₹ 32,000 on 30.12.2025.
Hence, TDS u/s 194C = ₹ 2,240.

Illustration 25 [MTP Sep 2024]

Briefly discuss the provisions of tax deduction at source under the Income-tax Act, 1961 and determine the amount, if any, of TDS in respect of the following payments:

- (i) Mr. Vikas received a sum of ₹ 10,20,000 on 28.02.2026 as pre-mature withdrawal from Employees Provident Fund Scheme before continuous service of 5 years on account of termination of employment due to ill-health.
(ii) Indian Bank sanctioned and disbursed a loan of ₹ 12 crores to B Ltd. on 31-12-2025. B Ltd. paid a sum of ₹ 1,20,000 as service fee to Indian Bank for processing the loan application.

Solution

TDS implications

- (i) On pre-mature withdrawal from EPF

No tax is deductible under section 192A even though the employee, Mr. Vikas, has not completed 5 years of continuous service, since termination of employment is on account of his ill-health. Hence, Rule 8 of Part A of the Fourth Schedule is applicable in this case.

- (ii) On payment of service fee to bank

Even though service fee is included in the definition of "interest" under section 2(28A), no tax is deductible at source under section 194A, since the service fee is paid to a banking company, i.e., Indian Bank.

Illustration 26 [MTP Nov 2022]

Briefly discuss the provisions of tax deducted at source and compute the amount of TDS under the Income-tax Act in respect of the following payments:

- (i) Ms. Asha deposited ₹ 35,00,000 @10% p.a. on 1.7.2025 with ABC Co-operative bank limited.



- (ii) Mr. Naresh won ₹ 15,00,000 in Kon Banega Crorepati
- (iii) Mr. Avinash deposited ₹ 2,00,000 @11% p.a. on 1.5.2025 for half year with Hike Investment LLP.

Solution

- (i) Tax has to be deducted at source by the ABC Co-operative Bank @10% under section 194A on interest of ₹ 2,62,500 [$₹ 35,00,000 \times 10\% \text{ p.a.} \times 9/12$] on deposits made by Ms. Asha, since the same exceeds the specified threshold of ₹ 50,000.
Tax to be deducted = ₹ 2,62,500 $\times 10\%$ = ₹ 26,250
- (ii) Tax has to be deducted @30% under section 194B on payment of ₹ 15,00,000 made to Mr. Naresh for winnings in Kon Banega Crorepati.
Tax to be deducted = ₹ 15,00,000 $\times 30\%$ = ₹ 4,50,000
- (iii) Tax has to be deducted at source by Hike Investment LLP @10% under section 194A on interest of ₹ 11,000 [$₹ 2,00,000 \times 11\% \times 6/12$] on deposits made by Mr. Avinash, since the same exceeds the specified threshold of ₹ 10,000.
Tax to be deducted = ₹ 11,000 $\times 10\%$ = ₹ 1,100

Illustration 27 [PYQ Jan 2025]

Mr. Ganesh whose Professional Receipts for the year ended 31.03.2025 were ₹ 1.25 crores has made payment to Mr. Rajesh (a Chartered Accountant) during P.Y. 2025-26 who has multi faced activities:

Examine whether TDS Provisions re applicable for following payments made by Mr. Ganesh to CA Rajesh :

- (i) Professional Fee for consultation - ₹ 32,450 on 15.06.2025 including GST paid @18%.
- (ii) Royalty Payment for Use of Computer Software by various clients of Mr. Rajesh - ₹ 2,50,000 on 03.03.2026.
- (iii) Fee for Technical services related to Business of Mr. Ganesh - ₹ 20,000 on 15.12.2025.
- (iv) Fees for teaching accountancy to his Son - ₹ 40,000 on 31.10.2025.

Solution

- (i) Professional Fees for consultation
As per section 194J, tax is required to be deducted at source @10% on fees for professional services, if the amount paid exceeds ₹ 50,000.
In the present case, since the amount of professional fees of ₹ 27,500 ($₹ 32,450 \times 100/118$) excluding GST is not exceeding ₹ 50,000, no tax is required to be deducted at source on such payment by Mr. Ganesh.
- (ii) Royalty payment for use of computer software
No tax is deductible at source by Individuals and HUFs on royalty payment. Hence this payment is not liable for TDS under section 194J.
- (iii) Fee for technical services related to business of Mr. Ganesh
As per section 194J, tax is required to be deducted at source 2% on fees for technical services, if the amount paid exceeds ₹ 50,000.



Since in the present case, the amount of fees for technical services of ₹ 20,000 is not exceeding ₹ 50,000, no tax is required to be deducted at source on such payment by Mr. Ganesh.

(iv) Fees for teaching accountancy to his son

No tax is required to be deducted at source u/s 194J in respect of fees for teaching, since it does not fall within the scope of professional services. Moreover, TDS also not required to be deducted at source since such fees is paid by Mr. Ganesh for his personal purposes.

Illustration 28 [RTP Sep 2025]

Examine the applicability and determine the amount of tax deduction at source (TDS) as per the Income-tax Act, 1961 for the A.Y. 2026-27 in the following situations:

1. Nexus Tech Pvt. Ltd., a company engaged in the business of manufacturing electronic goods, reported a turnover of ₹ 12 crore during the F.Y. 2024-25. During the F.Y. 2025-26, the company made the following purchases from resident sellers:
 - From Vendor A – Raw materials worth ₹ 60,00,000 (₹ 25 lakh in April, ₹ 35 lakh in July). Payment of ₹ 20 lakhs was made in June and remaining payment in September. Vendor A has not furnished his PAN
 - From Vendor B – Trading goods worth ₹ 48,00,000 on instalments (₹ 15 lakh in May, ₹ 20 lakh in October, ₹ 13 lakh in December). Entire payment was made in March, 2026. It is to be noted that Nexus Tech Pvt. Ltd. made the entry in its books on the date of purchase and TCS provisions are not applicable on vendors.
2. In January 2026, Mr. Sumit, engaged in business having turnover of ₹ 1.20 crores during the P.Y. 2024-25, enters into an annual maintenance contract (AMC) with ABC Ltd., a resident company, for ₹ 5,40,000 plus GST@18%. Mr. Sumit made the payment in February 2026 and ABC Ltd. has not provided its PAN to Mr. Sumit.

Solution

1. Since the turnover of Nexus Tech Pvt. Ltd. exceeds ₹ 10 crores during the P.Y. 2024-25, it is required to deduct tax at source under section 194Q for paying any sum to a resident for purchase of goods of the value exceeding ₹ 50 lakhs in a previous year, at the time of payment or credit, whichever is earlier.
The rate of TDS would be 0.1% of sum exceeding ₹ 50 lakhs. In case of non-furnishing of PAN, TDS @5% would be deducted as per section 206AA. TDS liability in respect of the purchases made by Nexus Tech Pvt. Ltd. is as follows -
 - Purchase of raw material from Vendor A
The threshold limit of ₹ 50 lakhs is exhausted in July at the time of credit; accordingly, tax would be deducted by Nexus Tech Pvt. Ltd. on ₹ 10 lakhs, being the sum exceeding ₹ 50 lakhs in July.
Since Vendor A has not provided his PAN to Nexus Tech Pvt. Ltd., tax at higher rate of 5% would be deducted.
Accordingly, the tax to be deducted by Nexus Tech Pvt. Ltd. would be ₹ 50,000.
 - Purchase of trading goods from Vendor B



The threshold limit of ₹ 50 lakhs is per resident seller per buyer. On purchase of trading goods from Vendor B, no tax is required to be deducted since the threshold of ₹ 50 lakhs is not exhausted.

2. Since the turnover of Mr. Sumit exceeds ₹ 1 crore during the P.Y. 2024-25 and the contract payments made to ABC Ltd. Exceeds ₹ 1,00,000, the TDS provisions under section 194C would be attracted. The rate of TDS under section 194C is 2%. However, as per section 206AA, in case of non-furnishing of PAN, TDS @20% would be deducted. In the present case, ABC Ltd. has not provided its PAN to Mr. Sumit, hence, TDS@20% is applicable on ₹ 5,40,000 being the amount excluding GST as GST is separately mentioned. The amount of tax to be deducted by Mr. Sumit would be ₹ 1,08,000.

Illustration 29 [PYQ May 2025]

Discuss the relevant provisions of Income-tax Act, 1961 with respect to tax deduction at source (TDS) and calculate amount of TDS also for the A.Y. 2026-27 in the following independent situations:

1. Marks Pictures Ltd. is a movie and short films production house having turnover of ₹ 15.22 crores during the previous year 2024-25. Solar Varanasi LLP also produces short films and clippings and it has already produced a short film namely 'Maha Kumbh'. On 16-10-2025, Marks Pictures Ltd. acquired television rights in consideration of ₹ 52 lakhs from Solar Varanasi LLP. (Both have valid PAN)
2. Mr. Mayank, a salaried individual, paid rent for his residential house at Mumbai to the house owner Mr. Nikhil in the following manner:
From April, 2025 to September, 2025: ₹ 75,000 per month; and
From October, 2025 to March, 2026: ₹ 1,00,000 per month.

Solution

1. Acquisition of television rights

Payment made by Marks Pictures Ltd. for acquisition of television rights of the content already produced by the Solar Varanasi LLP, a production house would not be liable for tax deduction at source under section 194C, since there is no contract for "carrying out any work", as required in section 194C.

However, consideration for acquiring television right in respect of film would fall within the definition of royalty as defined in Explanation 2 to section 9(1)(vi). Accordingly, tax is required to be deducted u/s 194J @10% on ₹ 52 lakhs or ₹ 5,20,000.

2. Rent paid by a Salaried individual

Since Mr. Mayank pays rent exceeding ₹ 50,000 per month in the F.Y. 2025-26, he is liable to deduct TDS u/s 194-IB @2% in the last month of the P.Y. 2025-26 i.e., March 2026 or in the last month of tenancy, if the property is vacated during the year.

Since property is not vacated during the year, ₹ 21,000 {₹ 10,50,000 [(₹ 75,000 x 6) + (₹ 1,00,000 x 6)] x 2%} has to be deducted from rent payable for March 2026.

Illustration 30 [RTP Jan 2026]



Examine the applicability and determine the amount of tax deduction at source as per the Income-tax Act, 1961 for the A.Y. 2026-27 in the following situations:

1. ABC Ltd., having its registered office in Noida, organized its annual company function at its Gurgaon office. For this purpose, the company engaged Beta Pvt. Ltd. to arrange road transport for its employees from Noida to Gurgaon and back, for which a payment of ₹ 25,000 has to be made. Further, ABC Ltd. also entered into a separate contract with Beta Pvt. Ltd. for providing catering services at the function, for ₹ 90,000.
2. Vijay Health Solutions Ltd., a Third-Party Administrator (TPA), makes payments to various hospitals across India towards settling cashless medical insurance claims on behalf of insurance companies. During the financial year 2025-26, the total payment made by Vijay Health Solutions Ltd. to LifeCare Hospital for cashless claims is ₹ 12,00,000.

Solution

1. Any person responsible for paying any sum i.e. ₹ 30,000 in a single payment or ₹ 1,00,000 in the aggregate during a financial year to a resident contractor for carrying out any work (including supply of labour for carrying out any work) in pursuance of a contract between the contractor and the contractee, tax has to be deducted at source u/s 194C at the time of payment of such sum or at the time of credit of such sum to the account of the contractor, whichever is earlier.

In the present case, ABC Ltd. has entered into separate contracts with Beta Pvt. Ltd. for arranging road transport and providing catering services, for ₹ 25,000 and ₹ 90,000, respectively. Both 'carriage of passengers' and 'catering' are expressly covered as "work" under section 194C. Even though the services are different, the aggregate payment to the contractor during the financial year is considered for the threshold limit. Hence, TDS@2% is applicable on ₹ 1,15,000, being the aggregate amount paid to Beta Pvt. Ltd. The amount of tax to be deducted by ABC Ltd. would be ₹ 2,300.

2. The payment by TPAs was made on behalf of insurance companies to hospitals for settlement of medical/insurance claims etc. under cashless claims which was on account of services rendered by hospitals to various patients. These services are primarily medical services and are liable to deduct tax at source under section 194J on all such payments to hospitals etc.

In the present case, Vijay Health Solutions Ltd. is required to deduct tax u/s 194J @10% on payment of ₹ 12 lakhs. The amount of tax to be deducted by Vijay Health Solutions Ltd. would be ₹ 1,20,000.

Illustration 31 [PYQ Sep 2025]

Aryan, a resident individual engaged in the retail trade of auto parts through various stores across Delhi-NCR, had total turnover of ₹ 15 crores during the financial year 2024-25. The following data is furnished relating to the financial year ended 31-3-2026:

1. He purchased goods for ₹ 105 lakhs (excluding GST @ 18%) on 21.05.2025 from Diva LLP, a limited liability partnership firm resident in India. Out of these purchases, goods worth ₹ 5 lakhs (excluding GST) were returned on 20.07.2025 due to quality issues for



which Diva LLP refunded the money on 20.02.2026. Assume that the turnover of Diva LLP during the financial year 2024-25 was ₹ 8 crores.

2. Aryan paid ₹ 77,000 every month to Mr. Kulveer, a resident individual for providing catering services in his shop under a contract.

Discuss the TDS/TCS implications in respect of the above-mentioned transactions assuming PAN of all the concerned parties are available.

Solution

1. Mr. Aryan is required to deduct tax at source under section 194Q @0.1% on the purchase of goods exceeding ₹ 50 lakhs without GST since his turnover for the P.Y. 2024-25 exceeds ₹ 10 crores. The tax is to be deducted at the time of payment or at the time of credit of such sum to the account of Diva, LLP, whichever is earlier. Accordingly, Aryan has to deduct tax of ₹ 5,500, being 0.1% of ₹ 55 lakhs on 21.5.2025.
In case of purchase return of ₹ 5 lakhs and amount is refunded by Diva LLP, tax deducted of ₹ 500 (0.1% of ₹ 5 lakhs) may be adjusted against the next purchase from Diva LLP.
2. Since Mr. Aryan paid for catering services exceeding ₹ 30,000 and his turnover for the P.Y. 2024-25 exceeds ₹ 1 crore, he is liable to deduct tax at source under section 194C @1%. The tax is to be deducted at the time of payment or at the time of credit of such sum to the account of Mr. Kulveer, whichever is earlier.
Amount of TDS = ₹ 77,000 × 12 × 1% = ₹ 9,240

Illustration 32 [RTP May 2026]

Examine the applicability and determine the amount of tax deduction/ collection at source as per the Income-tax Act, 1961 for the A.Y. 2026-27 in the following situations:

- a) ABC Ltd. sells a flat to Mr. Jatin for ₹ 47 lakhs on 15.5.2025. The agreement to sell provides that in addition, Mr. Jatin has to pay maintenance charges of ₹ 10,000 per month for 24 months in advance, ₹ 3 lakhs for car parking, and ₹ 1 lakh for club membership fees to ABC Ltd. The stamp duty value of the flat is ₹ 48 lakhs.
- b) State Government of Jharkhand grants a lease of coal mine to M/s XYZ Ltd. on 1.5.2025 and charged ₹ 7 crores for the lease. M/s XYZ Ltd. sold coal for ₹ 2 crores to M/s LMN, a public sector company, during the P.Y. 2025-26. The turnover of XYZ Ltd. and M/s LMN, PSU, for the F.Y. 2024-25 amounted to ₹ 5.5 crores and ₹ 11 crores, respectively.

Solution

- a) Section 194-IA requires deduction of tax @1% of consideration for transfer or stamp duty value, whichever is higher, by every transferee responsible for paying any sum as consideration for transfer of immovable property (land, other than agricultural land, or building or part of building) to a resident transferor.
Tax is not required to be deducted at source where the total amount of consideration for the transfer of immovable property and the stamp duty value both are less than ₹ 50 lakhs. Consideration for transfer of any immovable property includes, inter alia, club



membership fee, car parking fee, maintenance fee, which are incidental to transfer of the immovable property.

In the present case, since the consideration for transfer of flat by Mr. Jatin to ABC Ltd. is ₹ 53,40,000 (₹ 47 lakhs + ₹ 2,40,000, being ₹ 10,000 x 12 x 2 + ₹ 3 lakhs + ₹ 1 lakh) which is not less than ₹ 50 lakhs, Mr. Jatin is required to deduct tax @1% on ₹ 53,40,000, being higher of consideration and stamp duty value.

Tax deductible by Mr. Jatin would be ₹ 53,400.

- b) State Government is required to collect tax at source @ 2% u/s 206C(1C) on ₹ 7 crores, being the charges for lease of coal mine.

Accordingly, TCS = 2% x ₹ 7 crores = ₹ 14,00,000

Every person, being a seller, is required to collect at source @1% under section 206C(1) on sale of coal to a buyer. However, a public sector company is not covered within the definition of buyer.

Accordingly, M/s XYZ Ltd. is not required to collect tax at source on sale of coal to M/s LMN, a PSU.

However, since the turnover of M/s LMN, a PSU exceeds ₹ 10 crores during the P.Y. 2024-25, it is required to deduct tax at source under section 194Q @0.1% of sum exceeding ₹ 50 lakhs paid to M/s XYZ Ltd.

Accordingly, TDS = 0.1% x ₹ 1.50 crores = ₹ 15,000.

Illustration 33 [RTP May 2025]

Examine the applicability and amount of Tax deduction at source (TDS) or Tax collection at source (TCS) as per the Income-tax Act, 1961 for the A.Y 2026-27 in the following situations:

1. Mr. Subhash is a salaried individual pays rent of ₹ 52,000 per month to Mr. Raj from April 2025. Mr. Subhash vacated the premises on 31st August, 2025. What if he vacates the premises on 31st October, 2025.
2. ABC Traders, a partnership firm, is engaged in the wholesale business of tendu leaves. Its turnover for the P.Y. 2024-25 was ₹ 9 crores. During the financial year 2025-26, it sold tendu leaves worth ₹ 12 lakhs to XYZ Ltd. XYZ Ltd. does not provide its PAN to ABC Trader.

Solution

1. Since Mr. Subhash is a salaried individual and pays rent exceeding ₹ 50,000 per month in the F.Y. 2025-26, he is liable to deduct tax at source u/s 194-IB @2%. If Mr. Subhash vacated the premises on 31st August, 2025, tax has to be deducted from rent payable for August, 2025. Tax deductible would be ₹ 5,200 [₹ 52,000 x 5 x 2%]. If Mr. Subhash vacated the premises on 31st October, 2025, tax has to be deducted from rent payable for October, 2025. Tax deductible would be ₹ 7,280 [₹ 52,000 x 7 x 2%].
2. Under section 206C(1), seller of certain goods, inter alia, tendu leaves is required to collect tax from the buyers @5%. Seller u/s 206C(1) includes firm. In case of non-furnishing of PAN, tax to be collectible at the higher of twice the specified rate i.e., 10% or @5%. In the present case, ABC Traders is required to collect tax at source u/s 206C(1)



@10% on sale of tendu leaves of ₹ 12 lakhs to XYZ Ltd. at the time of debit or receipt, whichever is earlier.

Illustration 34 [PYQ Sep 2025]

Specify the persons who are not required to pay advance tax as per the provisions of the Income-tax Act, 1961.

Solution

An assessee is not liable to pay advance tax if the advance tax payable, in his case, is less than ₹ 10,000 during the financial year.

An individual resident, who is of the age of 60 years or more at any time during the previous year and does not have any income chargeable under the head “Profits and gains of business or profession” is also not required to pay advance tax.





THANK
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